CHAPTER 3

PRIVATE PUBLIC AND GLOBAL ENTERPRISES

CHAPTER ESSENCE AT A GLANCE:
Examine the changing role of the public sector, departmental undertakings, statutory corporations, government companies, and the worldwide operational reach of multinational global enterprises.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Departmental Undertaking Bureaucracy:** Organized as a department of a government ministry, financed directly from treasury appropriations, and staffed by civil servants subject to strict parliamentary oversight (e.g. Indian Railways).

• **Statutory Corporation Autonomous Mandate:** Established by a Special Act of Parliament defining powers, immunities, and financial autonomy, possessing corporate personality without bureaucratic civil service rigidities (e.g. LIC, RBI).

• **Government Company Commercial Flexibility:** Registered under the Companies Act where at least 51 percent of paid-up capital is held by the Central or State Government, managed with market commercial autonomy (e.g. BHEL, SAIL).

• **Global Multinational Enterprises (MNCs):** Corporations operating in multiple nations with corporate headquarters in the parent nation, leveraging massive capital, advanced technology, aggressive marketing, and product innovation.

ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Government Company Threshold} \iff \text{State Equity Holding} \geq 51\% \text{ of Total Paid-up Capital}$$

Companies Act Section 2(45) Statutory Equity Minimum

$$\text{Statutory Corporation Entity} = \text{Special Parliamentary Act} + \text{Independent Legal Personality}$$

Public Statutory Autonomous Entity Model

$$\text{Global Enterprise Power} = \text{Gigantic Capital} + \text{R\&D Dominance} + \text{Global Marketing Networks}$$

Multinational Enterprise Competency Drivers

$$\text{Public-Private Partnership (PPP)} = \text{State Regulatory Power} + \text{Private Capital} \& \text{ Operational Speed}$$

Infrastructure Collaborative Delivery Identity

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Employees of Government Companies are not civil servants; only employees of Departmental Undertakings are government civil servants.

• **Alert:** Government Companies are created by executive registration under the Companies Act, whereas Statutory Corporations are created by a Special Act of Parliament.

• **Alert:** Audit of Government Companies is directed by the Comptroller and Auditor General of India (CAG), but day-to-day statutory audit is conducted by chartered accountants.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is a Government Company? State the statutory equity ownership criterion under the Companies Act 2013. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Any company in which not less than 51 percent of the paid-up share capital is held by the Central Government, or State Government(s), or jointly. **[1 Mark]**

• **Criterion:** Registered and governed under the Companies Act 2013 like any commercial corporate enterprise. **[1 Mark]**

2. Give two features of Departmental Undertakings with one prominent Indian example. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Features:** (1) Financed directly from government treasury budget allocations, (2) Managed by civil servants under direct control of the concerned ministry. **[1 Mark]**

• **Example:** Indian Railways or Postal and Telegraph department. **[1 Mark]**

3. Explain why Statutory Corporations are considered more flexible and commercially oriented than Departmental Undertakings. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Independent Legal Status:** A statutory corporation is an autonomous legal entity that can sue, be sued, and hold property in its own name. **[1 Mark]**

• **Financial Independence:** Retains its revenues and obtains borrowings from public or banks without daily treasury control. **[1 Mark]**

• **Free from Bureaucratic Rules:** Its personnel are governed by custom service regulations rather than restrictive civil service codes. **[1 Mark]**

4. Distinguish between a Departmental Undertaking and a Government Company across three key parameters. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Formation:** Departmental undertaking is created by executive ministry order; Government company is registered under the Companies Act. **[1 Mark]**

• **Legal Status:** Departmental undertaking has no separate legal entity from the government; Government company is a distinct corporate legal person. **[1 Mark]**

• **Employee Status:** Staff in departmental undertakings are government civil servants; employees in government companies are corporate employees. **[1 Mark]**

5. State any three prominent features of Global Enterprises (Multinational Corporations). [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Huge Capital Resources:** Ability to raise massive financial funds from international capital markets and global equity investors. **[1 Mark]**

• **Advanced Technology:** Superior technological capabilities in manufacturing, product design, and automated supply chains. **[1 Mark]**

• **Centralized Management Control:** Headquarters in home country formulates worldwide strategy while branches execute localized operations. **[1 Mark]**

6. What is a Public-Private Partnership (PPP)? State any two benefits of the PPP model in infrastructure development. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Definition:** A long-term collaborative contract between a government agency and private sector parties to deliver public assets or services. **[1 Mark]**

• **Benefit 1:** Combines public authority with private managerial expertise and advanced engineering speed. **[1 Mark]**

• **Benefit 2:** Mobilizes massive private capital investment without straining scarce public exchequer funds. **[1 Mark]**

7. Explain the changing role of the Public Sector in the post-1991 Indian economic environment across: reduction in reserved industries, disinvestment, and memorandum of understanding (MoU). **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Reduction in Reserved Industries:** The number of industries reserved exclusively for the public sector was slashed from 17 down to only 3 strategic areas (atomic energy, defense equipment, and railway transport). **[1.5 Marks]**

• **Disinvestment of Equity:** Sale of government equity shareholding in public enterprises to private investors, mutual funds, and workers to inject market discipline and raise fiscal resources. **[1.25 Marks]**

• **Memorandum of Understanding (MoU):** Granting operational autonomy to public enterprise managers in return for clear performance accountability against negotiated annual targets. **[1.25 Marks]**